

HF GROUP PLC

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Consolidated Statement of Financial Position as at 30 June 2019

	Unaudited 30.06.2019 Shs'000	Audited 31.12.2018 Shs'000	Unaudited 30.06.2018 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	2,633,149	2,917,083	3,367,253
Balances with Banks	497,417	1,904,695	694,459
Investments in Government Securities	4,248,219	3,212,140	4,029,249
Loans and advances to banks	239,724	253,404	263,999
Loans and advances to customers	40,303,658	43,186,287	47,329,742
Other assets	5,682,098	4,639,593	5,546,980
Property and equipment	1,266,281	2,078,978	2,187,278
Prepaid operating lease	42,962	43,284	42,023
Other Intangible assets	923,633	1,007,553	1,006,455
Current tax recoverable	213,932	311,739	217,127
Deferred income tax asset	944,585	994,594	825,663
TOTAL ASSETS	56,995,658	60,549,350	65,510,228
LIABILITIES			
Deposits and current accounts - Customers	33,831,076	34,720,824	36,214,806
Deposits and current accounts - Banks	69,262	578,216	379,656
Other liabilities	2,088,013	1,410,327	2,140,213
Borrowings	10,635,864	13,468,749	15,638,584
Current Income tax payable	-	3	3
TOTAL LIABILITIES	46,624,215	50,178,119	54,373,262
EQUITY			
Ordinary share capital	1,923,071	1,923,071	1,923,071
Ordinary share premium	4,343,512	4,343,512	4,343,512
Revenue and other reserves	4,054,110	4,053,898	4,819,633
Capital grants	50,750	50,750	50,750
TOTAL EQUITY	10,371,443	10,371,231	11,136,966
TOTAL LIABILITIES AND EQUITY	56,995,658	60,549,350	65,510,228

Summary Consolidated Statement of Profit or Loss for the period ending 30 June 2019

	Unaudited 30.06.2019 Shs'000	Audited 31.12.2018 Shs'000	Unaudited 30.06.2018 Shs'000
Net interest income	1,027,203	2,265,673	1,343,150
Non-interest revenue	914,179	1,319,057	586,816
Total income	1,941,382	3,584,730	1,929,966
Credit impairment charges	(369,456)	(375,908)	(228,135)
Income after impairment charges	1,571,926	3,208,822	1,701,831
Total operating expenses	(1,666,240)	(3,860,507)	(1,689,206)
Profit before taxation	(94,314)	(651,685)	12,625
Exceptional items	-	8,941	19
Profit after exceptional item	(94,314)	(642,744)	12,644
Income tax expense	(2,717)	44,526	(5,816)
Profit for the period	(97,031)	(598,218)	6,828

Summary Consolidated Statement of Other Comprehensive Income for the period ended 30 June 2019

	Unaudited 30.06.2019 Shs'000	Audited 31.12.2018 Shs'000	Unaudited 30.06.2018 Shs'000
Profit for the period	(97,031)	(598,218)	6,828
Other Comprehensive Income			
Revaluation surplus on Property, plant and equipment	-	860	-
Fair value changes on available for sale financial assets	138,919	60,379	46,121
Deferred income tax on fair valuation of available for sale financial assets	(41,676)	(18,114)	(13,836)
Other Comprehensive Income net of tax	97,243	43,125	32,285
Total comprehensive income	212	(555,093)	39,113
Total profit attributable to: Equity holders of the parent	(97,031)	(598,218)	6,828
Total comprehensive income attributable to: Equity holders of the parent	212	(555,093)	39,113
Earnings per share basic and diluted (in Shs):	(0.50)	(1.56)	0.04
Dividend per share (in Shs):	-	-	-

Summary Consolidated Statement of Changes in Equity as at 30 June 2019

	Share capital Shs '000	Share premium Shs '000	Revenue and other reserves Shs '000	Total equity Shs '000
At 1 January 2019	1,923,071	4,343,512	4,053,898	10,320,481
Profit for the period	-	-	(97,031)	(97,031)
Other comprehensive income	-	-	97,243	97,243
At 30 June 2019	1,923,071	4,343,512	4,054,110	10,320,693

Summary Consolidated Statement of Cashflow as at 30 June 2019

	Unaudited 30.06.2019 Shs'000	Audited 31.12.2018 Shs'000	Unaudited 30.06.2018 Shs'000
Net cash used in operating activities	(1,514,745)	2,952,935	(581,299)
Cash flows from investing activities	(125,203)	(894,322)	(781,251)
Cash flows from financing activities	-	(2,712,090)	(123,653)
Net increase/(decrease) in cash and cash equivalents	(1,639,948)	(653,477)	(1,486,203)
Cash and cash equivalents at 1 January	3,009,372	3,662,849	3,662,849
Cash and cash equivalents at period end	1,369,424	3,009,372	2,176,646

Commentary

The Group Plc reported a performance improvement with a pre-tax loss of Kshs. 94.314 million, compared to Kshs. 642.74 million for the year ending 31 December 2018.

The Group's Total Interest expenses have reduced by 9.80 percent to Kshs. 1.67 billion from Kshs. 1.85 billion during a similar period in 2018, on the back of the aggressive retail banking strategy that has seen the business lower the cost of funding and offsetting of outstanding debt worth Kshs. 1.5 billion.

Non-funded income grew by 56% to Kshs. 914 million up from Kshs. 586 million during a similar period in 2018, on account of gains made on sale of assets.

The net Non-Performing Loan book shrunk by 13.14 percent to Kshs. 7.58 billion from Kshs 8.73 billion as at 31 December 2018. The reduction driven by the aggressive strategies put in place to contain non – performing loans (NPLs) including the property sales campaign dubbed "Shika Nyumba na HF Reloaded" has accelerated property sales on a mix of HF owned and financed developments with 335 units sold to date.

The business is on track to redeem in full the Kshs. 3 billion Corporate Bond in October 2019. This is the second tranche of the Kshs. 10 billion Bond issued in October 2010. The business will finance the bond repayment from its internal cash flows from operations.

Our business transformation strategy is paying off and given the trend in performance for the first six months of 2019, we project a turnaround to profitability by end of 2019.

Dividends

The directors do not recommend payment of an interim dividend.

Explanatory notes

The accounting policies used in the preparation of these financial statements are consistent with those used for the Group's December, 2018 annual financial statements. The above financial statements are extracts from the records of the Group.

They were approved for issue by the Board of Directors on 28 August, 2019.

Robert Kibaara
Group Chief Executive Officer

Steve Mainda
Group Chairman